

Examples: *a.* Amounts varying year by year: Detroit Edison, Philadelphia Electric, American Water Works and Electric, American Power and Light.

b. Unchanged annual round amount: Tampa Electric charged \$430,000 per annum from 1933 through 1939.

c. Allowance made equal to actual retirements during year: Western Union Telegraph Company in 1932–1936. The depreciation charge of \$5,631,000 in its income account for 1936 compares with a provision of \$11,190,000 in the tax return. The difference would account for most of the \$7,199,000 reported as earned for the common stock that year. The inadequacy of past allowances for depreciation was shown by the transfer in 1937 of \$30,000,000 from surplus to depreciation reserve.

Double Accounting Policies on Depreciation. We have already stated that, regardless of what method is followed in the annual reports, practically every company follows the straight-line basis of depreciation in computing its income tax.⁹ The investor is thus confronted with a dual situation and a pressing problem. In many cases it is of vital importance to know which basis of depreciation is correct, since bond-interest coverage and common-stock earnings which may appear adequate as reported in the company's annual statements would turn out to be entirely insufficient if the income tax figures are accepted.

Example: The existence of this disparity was unknown to investors generally until brought out into the open in one of the first prospectuses published under the terms of the 1933 act, *viz.*, that describing the American Water Works and Electric Company Convertible 5s, due 1944. This document revealed that in 1932 "tax-return amortization" had been taken at \$7,023,000, as against "income-account amortization" of only \$2,747,000. At that time there was a tendency in Wall Street to minimize the significance of these divergences, on the ground that depreciation was a highly technical and controversial matter and there was just as much reason to accept the income-account basis as the tax-return basis.

Reasons for Accepting, in General, the Income Tax Base. We have always been convinced that this heedlessness was dangerously unsound.

⁹ Prior to 1934 Consolidated Edison apparently used the same retirement allowance in tax returns and annual reports, but has since taken advantage of the higher depreciation rates in calculating its tax. Interim reports for 1939 suggest a swing back to the former practice.